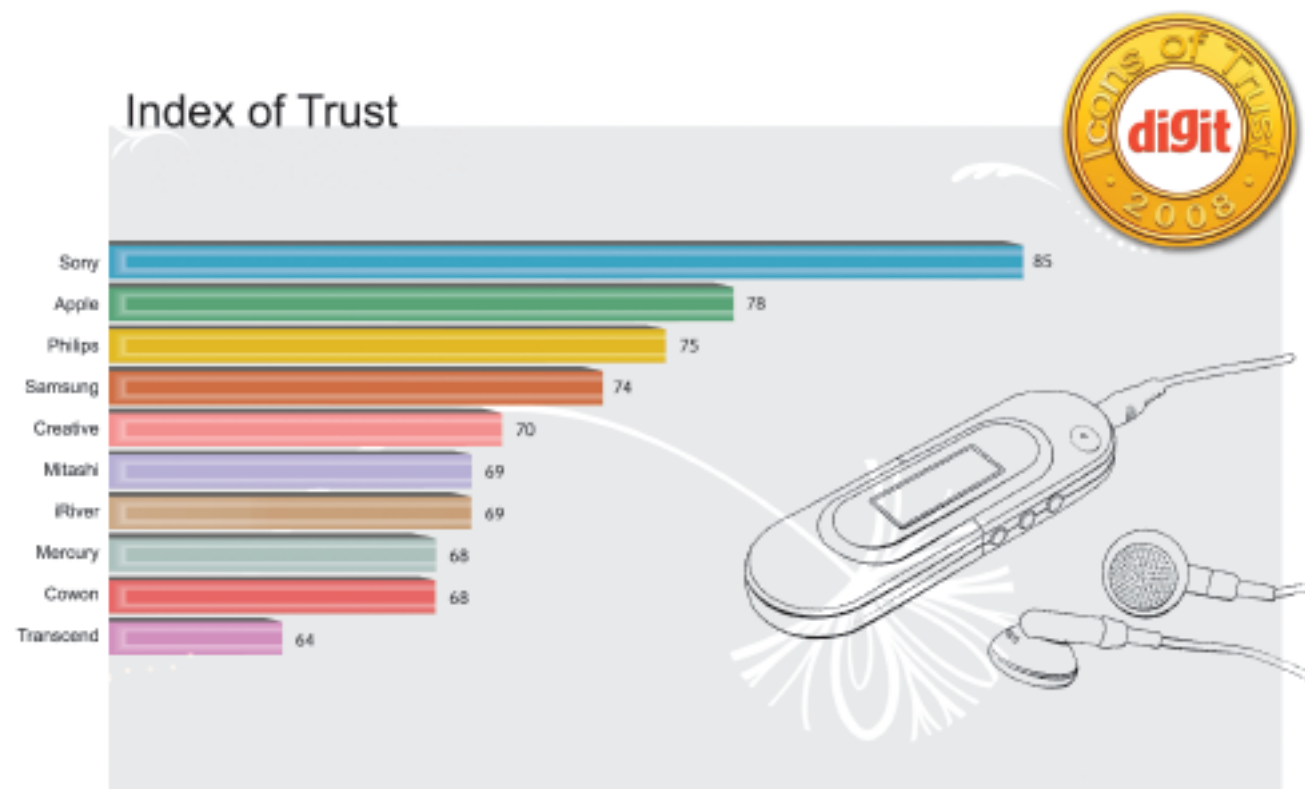




MP3 PLAYERS

Sweet Music for Sony

Digital audio players, or MP3 players, have helped revive the genre of personal music devices pioneered by Sony — with its now iconic Walkman. Users view MP3 players as personal use durables, and only 18 per cent of the respondents said that they have bought one for household use. About 80 per cent of the respondents indicated that they have been using a MP3 player for more than 6 months, with 40 per cent saying that they have been using these devices for over a year. Over three-quarters of the respondents said that they were the sole decision makers when it came to purchasing MP3 devices.

Index of Trust

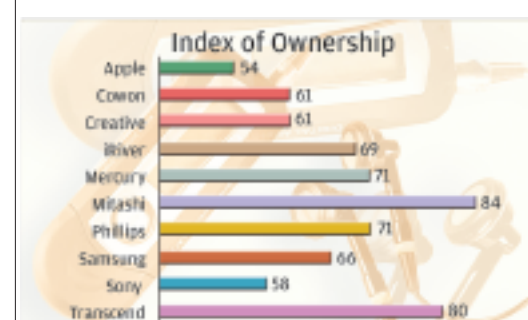
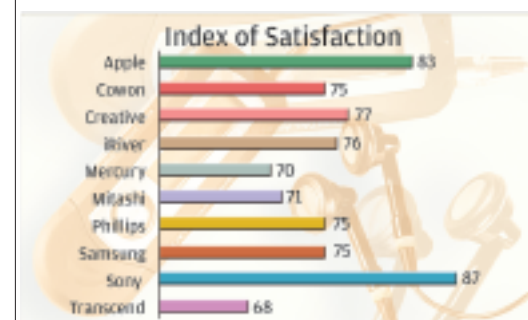
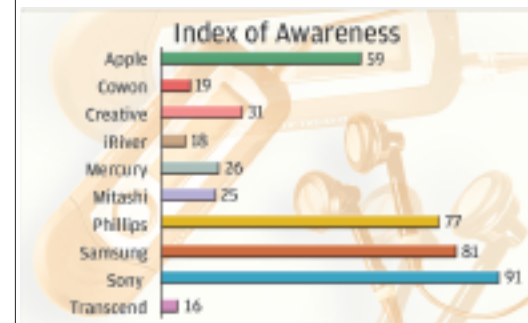
Trust in personal portable devices like MP3 players is largely driven by credibility (43 per cent), followed by loyalty (22 per cent) and satisfaction (18 per cent). Ownership and awareness played much smaller roles in influencing overall trust in this product category. Sony was the clear leader in MP3 players, streaking

ahead of the crowd. At second spot was Apple (powered by its well-known range of iPods), trailed closely by Philips and Samsung. Smaller brands like Mitashi, iRiver and Cowon were also respectably placed, and closely clustered together on the Index of Trust. All brands in this category secured a rating of good to excellent from users.

Awareness

Sony had the highest awareness index of all brands, followed by Samsung and Phillips. In terms of top-of-mind recall, Sony, followed by Apple, had the highest scores. It was surprising to note that the while the overall awareness of Apple is low, it did have high top-of-mind recall — perhaps due to recent international launch of the iPhone 3G and other Apple products. Another big surprise in the survey findings was that Sony had lower top-of-mind recall amongst users when compared to other brands, despite being the most popular brand owned.

Even though creating nothing like the hype associated with Apple's products, Sony is the clear overall winner in the personal audio category



Credibility

Both Sony and Apple did well on the credibility index, followed by Phillips. Brands like Cowon, Creative and Samsung were rated equal, with iRiver just behind. Users asserted that Sony and Apple were very high on quality, and rated Sony products to be durable and easy to use. Overall, Sony was rated higher than all other brands on all aspects of credibility, including technology leadership, responsiveness to user needs, and innovation. Philips was rated as high on quality, as was Creative — but both were perceived to be not as easy to use as Apple and Sony.

Satisfaction

On the satisfaction front, Sony got high scores across all attributes, and recorded the highest satisfaction index, followed by Apple. Phillips and Samsung were ranked equal on the satisfaction index, but lagged Creative and iRiver. Users rated Sony highly for brand availability, quality of information, knowledge of sales staff and value for money. Apple was also perceived

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to be high on brand availability, but was ranked a little lower than Sony when it came to query resolution. Cowon, Creative and Samsung were rated almost equally on the index of satisfaction.

Loyalty

On the loyalty front, Sony was out in the front, with Apple in hot pursuit, followed by Phillips. Sony appears to have a dedicated segment of users who are strongly attached to the brand, and would talk positively about it, recommend it to others, and repurchase it. While Apple users are inclined to talk positively about the brand and recommend it to others, their propensity to repurchase the brand was a slightly lower than Sony. Both Sony and Apple were rated much ahead of the other brands on all attributes of loyalty.

Ownership

On the ownership index stakes, Mitashi was the surprise leader, followed by Transcend. Bigger brands like Apple and Sony were relegated to the back — most likely due to higher prices and ownership costs. ☒